

BE

BE N/A

|     |                   |                              |                                     |                        |
|-----|-------------------|------------------------------|-------------------------------------|------------------------|
| Buy | \$302.85 ▲ 10.73% | 12M Price Target<br>\$340.00 | 52-Week Range<br>\$18.39 – \$322.83 | Market Cap<br>\$86.14B |
|-----|-------------------|------------------------------|-------------------------------------|------------------------|

BE: AI Power Deals Drive Re-Rating; Reiterate Buy

WHAT'S CHANGED

- BE +10.73% to \$302.85 on 9.4M shares, reversing prior 3-day -6.9% drawdown; stock now sits at 93% of 52-week range (\$18.39–\$322.83), reflecting renewed AI-power narrative momentum.
- Simply Wall St. and Zacks flagged Bloom's AI power deals and Bull-of-the-Day designation; options flow shows unusual June \$370 call activity (3,122 contracts, 5.9x OI, \$3.6M notional) signaling aggressive upside positioning.

IMPLICATIONS

The convergence of AI hyperscaler power scarcity and Bloom's modular SOFC solution continues to drive a structural re-rating, with today's bounce off the \$273 level confirming dip-buying conviction. Utilities (+1.86% 1D) leading sector tape supports the "power-as-a-bottleneck" thesis, while the 1.50 P/C ratio masks bullish positioning given the heavy near-dated upside call buying. For BE, this validates the shift from "fuel-cell story stock" to "AI infrastructure pick-and-shovel," justifying premium revenue multiples as long as backlog conversion and deployment cadence accelerate.

VALUATION

At \$86.1B market cap on ~\$2.15B FY26E revenue, BE trades at ~40x forward EV/Sales — a steep premium to traditional industrial peers but increasingly benchmarked against AI infrastructure enablers (VRT, ETN, GEV) trading at 5-8x sales with profitability. Our \$340 PT (~12% upside) assumes FY27 revenue of \$2.85B and a 30x EV/S multiple, justified by hyperscaler contract visibility and gross margin expansion toward 30%. Multiple compression to 20x on any AI capex pause is the primary downside risk.

KEY RISKS

- Valuation richness: 93% of 52-week range leaves minimal margin of safety; any AI capex deceleration triggers sharp de-rating
- Execution risk on hyperscaler deployments — fuel cell delivery cadence and on-site commissioning timelines unproven at scale
- Natural gas price volatility and IRA/45V hydrogen credit policy risk under shifting regulatory regime

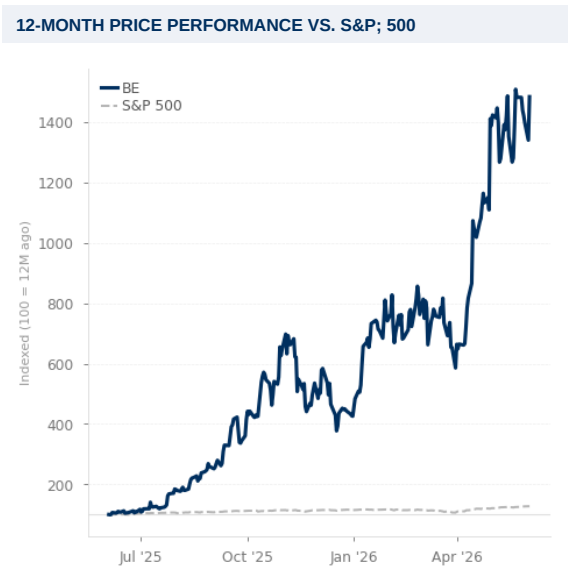
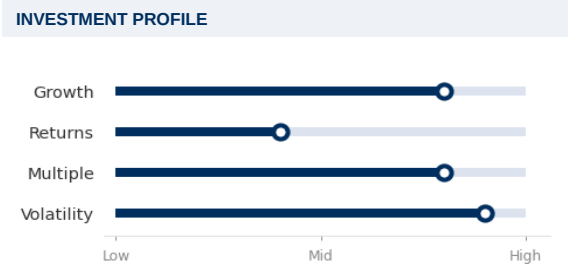
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| Key Data            |          |
|---------------------|----------|
| Price (USD)         | \$302.85 |
| 12M Price Target    | \$340.00 |
| Upside / (Downside) | +12.3%   |
| Market Cap          | \$86.14B |
| FY2026E Revenue     | \$2,150M |
| FY2027E Revenue     | \$2,850M |
| FY2026E EPS         | \$0.15   |
| FY2027E EPS         | \$0.55   |
| Fwd P/E             | N/M      |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$335.00  | \$310.00  | \$260.00  |
| 6 Months  | \$380.00  | \$325.00  | \$230.00  |
| 1 Year    | \$450.00  | \$340.00  | \$200.00  |
| 2 Years   | \$575.00  | \$400.00  | \$175.00  |
| 5 Years   | \$800.00  | \$500.00  | \$120.00  |
| 10 Years  | \$1200.00 | \$700.00  | \$80.00   |

SECTOR INTELLIGENCE

**HOT SECTORS:** Utilities, Technology

**COLD SECTORS:** Real Estate, Industrials (5D)

**ROTATION WATCH:** Capital is rotating into power-infrastructure proxies as AI datacenter buildouts strain grid capacity; expect continued bid for behind-the-meter generation names while pure-play renewables lag on rate sensitivity.

**BYPRODUCT PLAY:** Secondary beneficiaries include grid hardware (ETN, VRT, GEV), natural gas midstream feeding fuel-cell deployments, and electrolyzer-adjacent hydrogen names if 45V policy stabilizes.

OUTPERFORMERS & PEER CONTEXT

- VRT (Vertiv): Datacenter thermal/power infrastructure compounding above sector on AI capex flow-through
- GEV (GE Vernova): Gas turbine backlog hitting record highs as hyperscalers contract baseload firm power

**BE CONTEXT:** BE is pulling away from PLUG (which remains a story stock per Zacks coverage) and increasingly trading in sympathy with VRT/GEV — confirming re-categorization from clean-tech speculative into AI-power infrastructure tier.

INVESTMENT STRATEGY

**7/10** Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$270-285 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Loss of major hyperscaler contract or AI power thesis breakdown

**Hedging:** Long XLU / short PLUG pair to isolate fuel-cell alpha